

Dispute Resolution
RESEARCH CENTER**Anywhere University Medical Center***Sue Padernacht and Deborah Wing***Teaching Note****Overview**

This role-play exercise simulates a realistic negotiation scenario in which students must navigate complex interests, conflicting priorities, and opportunities for mutual gain. The negotiation discussions will test their ability to balance assertiveness with collaboration while working toward a mutually optimal agreement that benefits both parties and the stakeholders they represent.

The exercise context is in academic medicine. P.T. is the Dean of Anywhere University School of Medicine (SOM), which is situated within Anywhere University Medical Center (AUMC) and in the ABC region of the United States. P.T. is negotiating the annual budget with each Department Chair. AUMC's CEO has mandated no budget increases for the upcoming fiscal year and, in fact, is aiming for a 5% total budget reduction across the medical center compared with last year's budget. As Dean of the SOM, P.T. has provided budget request instructions for the Chairs. C.J. is a recently hired Chair who reports to P.T. and is developing and negotiating a department budget request.

- C.J.'s department budget was \$29,400,000 in the previous fiscal year.
- P.T. wants a 5% decrease—which, at \$27,930,000, represents a \$1,470,000 cut from the previous fiscal year budget.
- C.J. wants a 2% increase—which would total \$29,988,000, a \$588,000 bump over the previous fiscal year budget.

- C.J.'s budget is a 7% difference—or \$2,058,000—between P.T.'s 5% decrease instructions and C.J.'s proposed 2% increase.
- C.J.'s increase is related to a clinic expansion effort that includes hiring new clinicians, faculty members, and administrative staff.

Target Audience

The best audiences for this exercise are business school undergraduates, MBA students (including healthcare MBAs), and high-potential and existing leaders in healthcare and academic medicine participating in negotiation workshops. Although its context is academic medicine, the exercise was written so that students and participants in any industry can understand, learn from, and participate in it. The level of difficulty is moderate for undergraduate students, MBA students, and workshop participants.

Purpose

To provide an interest-based, integrative negotiation learning experience using a realistic, interactive academic medical role-play exercise.

Learning Objectives

- **Identify** and assess the interests underlying each party's position for each negotiation issue.
- **Integrate** those interests by identifying optimal mutual-gains outcomes.
- **Determine** and address emotions driven and fueled by strong interests.
- **Analyze** and manage the interpersonal dynamics involved in a high-stakes negotiation affecting the individuals, the stakeholders "not at the table," and the organizations they represent.

Materials

- C.J. Role Materials
- P.T. Role Materials
- Negotiation Reflection Notes
- Optional: Negotiation Dialogue Analysis Assignment Template

Administration and Logistics

For this two-party role-play exercise, divide the class or group into two groups and distribute the materials before the class session according to the following instructions:

- All participants receive the General Information page.
- One group receives the C.J. Role Materials.
- The other group receives the P.T. Role Materials.
- Students/participants should be reminded not to share with anyone else in the class their Confidential Instructions for their roles. Further instructions will be provided during the class session.
- Preparation is recommended to take place pre-class in groups of three or four students rather than individually to maximize the learning experience of analyzing a moderately complex negotiation situation.
- Reading and preparing for the negotiation should take about three or four hours, including the development of a Negotiation Prep Sheet (Prep Sheet) analysis tool, prompting students to identify the bargaining mix (common goal, issues, interests, positions, target and reservation points, BATNAs), a strengths and weaknesses situation analysis, options/concession strategies, and criteria for outcome selection.
- During the class session role play, students will be paired off, with one student per role. Pre-arrange breakout rooms or seating arrangements so negotiating pairs can perform the exercise without being distracted by others.
- Provide 30 minutes for the pairs to complete the negotiation, 5 minutes to complete their Negotiation Reflection Notes (previously provided to students for completion throughout the semester).
- When the students return from their negotiation, ask those playing the role of P.T. (the Dean) to write the negotiated outcomes on a physical or digital whiteboard for public viewing. For classes of up to 40 students, a physical whiteboard is sufficient; for larger groups, a digital whiteboard is preferable.

Debrief and Suggested Debrief Questions

Plan 30 minutes for the debrief, focusing first on a comparison of negotiated outcomes, and then on the intra- and interpersonal dynamics. Instructors likely will be unable to cover all questions listed below in the allotted debrief time and may choose to combine questions to ensure an insightful discussion.

1. Now that you see the negotiated outcomes of your peers, how do you feel about your own negotiated outcomes? What happened that went well? What happened that kept you from achieving better outcomes? (Examples of what to look for in their responses include: a slip into a distributive and competitive mode; power struggles; letting emotions cloud better judgment; insufficient time spent on creating mutual-gains outcomes; and failing to plan or use a strategic concession strategy.)
2. What breakthrough strategies did your role use to achieve the desired outcomes and address core interests? Which breakthrough strategies did your role miss, possibly leading to tense interpersonal relations or conflict? (This question refers directly to the required reading, William Ury's 1993 book, *Getting Past No: Negotiating in Difficult Situations* [Bantam].)
3. In what ways did you demonstrate or not demonstrate effective use of emotions, such as emotional self-composure, understanding, and responding appropriately to demonstrated signs of emotion (in self or other)? How do you think this affected the outcomes and the relationship?
4. In what ways did you demonstrate constructive interpersonal communication skills, such as using active listening, one or more of the three types of empathy (e.g., "step to their side") listed by Ury? How did this result in addressing interests, negotiating positions, and calming emotions?
5. Now that you see the possible outcomes, what improvements would you make to your planning and approach?

Teaching Plan

This role-play can be used in a negotiation course or workshop to demonstrate the essentials of negotiation, such as distributive vs. integrative bargaining, interests, positions, target and reservation points, and BATNAs. Alternatively, this role-play may also be used at a mid-point after the essentials have been taught, with the focus on human factors such as negotiation and conflict styles, emotions, power dynamics, interpersonal relationships, nonverbal communication, assertive communication, active listening, powerful questions, and creative problem-solving. Examples of lessons can be found in the course-required textbook, the ninth edition of Roy J. Lewicki, David M. Saunders, and Bruce Barry's *Negotiation* (McGraw-Hill, 2024), chapters 6–10 and 14–15.

If this role play is used at the beginning of a course, it should follow lessons on the essentials of negotiation, giving students the opportunity to prepare for it using an analytical tool such as the Prep Sheet mentioned above. If this role play is used at the midpoint of a course, it should follow lessons on human factors in negotiation.

Optional AI Activity: Dialogue Analysis

Purpose

The purpose of this assignment is for students to analyze how effectively their Prep Sheet analysis led to a productive, integrative, and collaborative negotiation dialogue. This activity is best used to help students reflect on and apply lessons about the human factors in negotiation referred to above. It may be assigned as part of the Prep Sheet homework assignment or included as an in-class activity preceding the role play.

Grading Allocation

Keep in mind the following rule of thumb for allocating grade points: The Dialogue Analysis is worth 50% of the Prep Sheet point value. That is, if the AUMC prep sheet is worth 10 points, the Dialogue Analysis is worth an additional 5 points, for a total assignment point value of 15 points.

AI Selection

The most up-to-date versions of Claude.ai (Anthropic) were used in this activity because they have been shown to generate highly authentic transcripts. However, large language model (LLM) capabilities are constantly evolving, so instructors are encouraged to conduct pre-class experiments using other AI systems, such as current versions of ChatGPT (OpenAI), Gemini (Google), and Co-Pilot (Microsoft).

Assignment as In-Class Activity

During this activity, students submit (1) their General Instructions with assigned AUMC role, and (2) their study group's AUMC Prep Sheet into a generative artificial intelligence (genAI) LLM, along with the prompt below, to compose a transcript of the negotiation between P.T. (the Dean) and C.J. (the Chair). Doing this enables students to see how their Prep Sheet analysis plays out in a negotiation, analyze the human elements reflected in each role, and gain insight into the dialogue that might result from it.

Allocate 45 minutes for the Dialogue Analysis in-class activity. Check with tech support to ensure the location has sufficient Wi-Fi connectivity for students to complete the assignment and to avoid lost time on technical issues. Ensure that at least one student in each group uses a functional laptop or tablet to meet the activity's technical requirements.

The following are general steps to complete this assignment in class. Instructors may add guidelines in the Learning Management System (LMS) used by their university, college, or company, adjusting the instructions accordingly for a pre-class group homework assignment or an in-class group activity.

1. Before the start of class, students complete the AUMC Prep Sheet and upload it to the LMS for grading.
2. Start class with lessons about the human elements of negotiation, as described above.
3. Break students into their pre-existing study groups (preferred) or random activity groups, depending on how you run your class.
4. One student per group launches the AI (of the instructor's choice).
5. The student uploads the group's documents to the AI: the prep sheet and AUMC General Instructions with the assigned AUMC role. The student then copies and pastes the following prompt (from the syllabus, the LMS, etc.):

Dialogue Analysis Prompt

Attached are documents that outline the details of an exercise used in a negotiations course for a (fill in the blank, e.g., MBA, MPH, BBA, PhD) program. Create a transcript of the two stakeholders, P.T. (the Dean) and C.J. (the Chair), outlined in the AUMC exercise, which will serve as a point of analysis for students in the negotiations course. The transcript you create should feel authentic and dynamic, with the stakeholders' motives, emotions, and characteristics clearly embodied in an accurate and engaging manner.

6. Once the student sends the prompt and documents to the AI, it will generate a transcript.
7. Using the negotiation dialogue transcript, the group of students analyzes the content using the Dialogue Analysis template, reflecting on and writing about the quality of the negotiation dialogue and outcome. Students might find the dialogue either to be well-balanced, somewhat aggressive, or somewhat passive, depending on the prep sheet analysis.

8. After the Dialogue Analysis assignment is completed, one student submits the Dialogue Analysis and transcript to the LMS on behalf of the group of four or five students for grading.
9. Build in a transition break so students can prepare for the one-to-one role-play exercise.
10. Allocate 30 minutes for the role-play exercise, and upon completion, require students to complete the Negotiation Role Play Reflection Notes.
11. Debrief the role-play outcomes, process, and Dialogue Analysis activity following the role-play, referring to the Debrief and Suggested Debriefing Questions section on pages 3 and 4 of this Teaching Note. Ensure that the lessons learned are linked back to the class lesson on human factors in negotiation.

Negotiation Role-Play Exercise Reflection Notes

Date: _____ Exercise _____

Role: _____

Describe your initial reflections on the role play exercise: overall, what went well, what needed to improve, what surprises were there, and what went according to plan?

What I Did Well and Will Continue to Do	What I Need To Improve, Start /Stop Doing

Optional: Negotiation Dialogue Analysis Assignment Template: AUMC Role-Play Exercise

When you submitted your Prep Sheet, General Instructions, and AUMC role to the AI, a dialogue was generated reflecting the assigned prompt and your Prep Sheet contents. The purpose of this assignment is to analyze how effectively your Prep Sheet resulted in a productive, integrative, collaborative negotiation dialogue. Specifically, you will determine to what degree the quality of P.T.'s and C.J.'s relationship was enhanced, maintained, or damaged; to what extent your role's interests were sufficiently addressed; and whether the outcomes were successful based on your criteria. Reference the reading assignments and lecture notes from today's session to respond thoughtfully to the following questions.

Which Role Was Yours? (Remove the role that was not yours.)

- C.J. (the Chair)
- P.T. (the Dean)

1. On a scale of 1-10 (1 is low, 10 is high), how effectively do you believe your role achieved the desired outcomes? Explain based on interests and criteria.

Group response:

2. Overall, what breakthrough strategies did your role use to achieve the desired outcomes and address core interests? Which breakthrough strategies did your role miss, resulting perhaps in tense interpersonal relations or a conflict situation?

Group response:

3. In what ways did your role demonstrate or not demonstrate effective use of emotions, such as emotional self-composure, understanding, and responding appropriately to demonstrated signs of emotion (self or other)? How do you think this impacted P.T.'s and C.J.'s relationship?

Group response:

4. In what ways did your role demonstrate or not demonstrate constructive interpersonal communication skills, such as using active listening, one or more of the 3 types of empathy (Step to their Side, from Ury)? How did this result in addressing interests, negotiating positions, and calming emotions?

Group response:

5. Now that you see the dialogue that resulted from your Prep Sheet, what improvements would you make to your negotiation analysis?

Group response: